



Farms in Downtown Tokyo?!

Ben Hermalin, much beloved Haas School professor, was on a tour of Japanese companies to learn more about their practices, which he hoped would help him to improve the material he covered in MBA 201A, the core microeconomics course at the Haas School of Business. One of the firms he visited was Pasona, a human resources firm. Pasona's headquarters are located in downtown Tokyo (Otemachi district). While Ben Hermalin was fascinated by many aspects of Pasona, one aspect of its operation was particularly memorable: Pasona operates an experimental farm in the basement of its office building!

Pasona

Pasona is a human resource management firm. Half of its business is in providing temporary staffing solutions to other firms. Pasona is also involved in placement services, outplacement services, and education and training. In addition, Pasona handles HR matters for some other firms. See Figure 1. For the first half of the fiscal year that ended in May 2005, Pasona had ¥87.016 billion in sales and an operating income of ¥3.982 billion. As of mid-May 2005, it was forecasting that its sales for the fiscal year that would shortly end would be ¥182.16 billion and its operating income would be ¥8.12 billion yen.¹

Pasona's CEO, Yasuyuki Nambu, is a visionary, especially when it comes to Japan's labor markets. Unlike many in the Japanese establishment, he is not especially worried about some of the trends currently seen in the Japanese labor market, such as high rates of youth unemployment and the so-called "freeters" problem.² He is a strong believer in education.

Interestingly, one solution to the youth employment situation that Mr. Nambu advocates is for more youth to become farmers. Because most Japanese live in urban areas, their exposure to farming is limited. To help would-be farmers learn more about farming, he decided to establish a farm on which they could gain experience—and which was close to home. This led him to arrange for a farm to be built in his own office building.

Pasona Gardens

Figure 2 gives the layout of the Pasona farm, which occupies the basement of Pasona's headquarters. As Figure 2 shows, the farm is divided into six rooms,

¹At the time this case was written ¥100 was worth 89¢ American.

²Freeters are young adults who work part time or who occupy temporary jobs; that is, essentially young workers not on an obvious career path.

with a different crop being grown in each. The entire farm occupies 1000 square meters (approximately 10,764 square feet).

The rooms are sealed off from the surrounding rooms and hallways, so that each room can be maintained at the proper temperature and humidity for the crop being grown. For example, Room 3 is used to grow rice, so both temperature and humidity are kept high.

Of course, being in the basement, there is no natural light. Hence, each room must be lit using lights especially designed for the crop being grown. Most of the lights are very bright—in some rooms it seems brighter than the sunniest day.

So How Much Does It Cost?

Being an economist (*i.e.*, lacking social graces), Professor Hermalin could not help but ask how much it cost to run the farm annually. The person showing him around said that the labor was largely free because it consisted of urban youth seeking to learn about farming. There were some minor costs associated with buying seed, for watering, and similar farming necessities (although no pesticides are needed given the location and the fact that the “fields” are hermetically contained). The person showing Professor Hermalin around estimated that 80 to 90 percent of the costs were for the electricity used by the lights and for climate control. The total annual cost of the farm was given as being around ¥20 million per year.

Conclusion

While the tomatoes and lettuce from the Pasona Gardens were some of the best Professor Hermalin had ever eaten, he was much less content with the cost estimate that had been given him. He was fairly confident that the annual cost of the farm was far greater than ¥20 million per year. Why?



Figure 1: Pasona lines of business (Source: Pasona, Inc.)



Figure 2: Layout of Pasona Gardens (Source: Pasona, Inc.)